COMPARABLE COMPANIES ANALYSIS

Colgate-Palmolive (India) Limited

Project Type: Relative Valuation Analysis
Sector: Fast-Moving Consumer Goods (FMCG)
Target Company: Colgate-Palmolive (India) Limited
Peer Companies: Hindustan Unilever Limited, Godrej Consumer Products Limited, Dabur India Limited and Marico Limited
Forecast Period: FY2027E
Prepared using: Microsoft Excel

By- Biswajyoti Chakraborty

---

1. Executive Summary

This report presents a Comparable Companies Analysis (CCA) of Colgate-Palmolive (India) Limited against four listed Indian FMCG companies: Hindustan Unilever, Godrej Consumer Products, Dabur India and Marico.

The analysis evaluates financial performance and relative valuation using Enterprise Value to Revenue (EV/Revenue), Enterprise Value to EBITDA (EV/EBITDA) and Price-to-Earnings (P/E) multiples.

Based on the figures displayed in the Excel model, Colgate's current share price is ₹1,603. The EV/Revenue approach indicates an implied share price of approximately ₹1,442.39, while the EV/EBITDA and P/E approaches indicate implied prices of approximately ₹1,894.24 and ₹1,894.65

The valuation methods therefore produce different conclusions. EV/Revenue indicates potential downside relative to the current market price, whereas EV/EBITDA and P/E indicate potential upside. This difference highlights the importance of considering multiple valuation approaches rather than relying on a single metric.

The analysis also compares forecast revenue growth and EBITDA margins across the selected companies to provide additional context for interpreting their valuation multiples.

2. Introduction and Objectives

Comparable Companies Analysis is a relative valuation method used to estimate the value of a company by examining how similar publicly traded businesses are valued by the market.

The central principle is that companies with reasonably similar business characteristics can provide useful valuation benchmarks. However, differences in profitability, growth, business mix, risk and capital structure must be considered when interpreting the results.

The objectives of this project are:

- To compare Colgate-Palmolive's financial performance with selected FMCG peers.
- To calculate and compare EV/Revenue, EV/EBITDA, P/E and P/B valuation multiples.
- To estimate Colgate's implied share price using peer median multiples.
- To compare the implied share prices with the current market price.
- To analyze forecast revenue growth and EBITDA margins.
- To present the results through an Excel valuation model and dashboard.

3. Company and Peer Group Selection

Colgate-Palmolive (India) Limited is the target company. The selected peer group comprises Hindustan Unilever Limited, Godrej Consumer Products Limited, Dabur India Limited and Marico Limited.

These businesses operate in the Indian consumer goods sector and provide a relevant starting point for comparison. Nevertheless, their product categories, brand portfolios, distribution networks, growth expectations and international exposure differ.

The peer group is therefore intended to provide a practical relative valuation benchmark, rather than suggesting that all five companies have identical financial or operating characteristics.

4. Data and Methodology

The analysis is organized in Microsoft Excel using separate worksheets for raw financial inputs, comparable company metrics, valuation multiples, implied valuation and the final dashboard.

The model uses FY2026 actual figures and FY2027 estimated figures as entered in the workbook. The forecast period is used to calculate forward valuation multiples and estimate Colgate's implied share price.

The main valuation metrics are:

EV/Revenue: Enterprise value divided by revenue. This measures the enterprise value attributed to each unit of revenue.

EV/EBITDA: Enterprise value divided by EBITDA. This compares enterprise value with operating earnings before interest, taxes, depreciation and amortization.

P/E: Share price divided by earnings per share. This measures the price investors pay for each unit of earnings attributable to shareholders.

P/B: Share price divided by book value per share. This compares the market value of equity with its accounting book value.

The peer median is used as the principal benchmark because the median is less sensitive than the arithmetic average to unusually high or low observations.

For EV-based methods, the implied enterprise value is converted into implied equity value by adding cash and subtracting debt, preferred stock and minority interest, where applicable. The implied equity value is then divided by shares outstanding to estimate the implied share price.

For the P/E method, the peer median P/E multiple is multiplied by Colgate's estimated FY2027 earnings per share.

5. Financial Performance Analysis

5.1 Revenue Growth

Colgate's FY2026 revenue is entered as ₹6,035 crore, while FY2027 estimated revenue is ₹6,624 crore.

Forecast revenue growth is calculated as:

Revenue Growth = (FY2027 Estimated Revenue ÷ FY2026 Actual Revenue) − 1

Using these figures, the model calculates revenue growth of approximately 9.76%, which rounds to 10%.

This suggests an expected increase in revenue in the forecast period. However, forecast growth remains uncertain and depends on factors such as consumer demand, pricing, sales volumes, distribution, competition and broader economic conditions.

5.2 EBITDA and Profitability

Colgate's FY2026 EBITDA is entered as ₹1,870 crore, and FY2027 estimated EBITDA is ₹1,956 crore.

The FY2027 EBITDA margin is calculated as:

EBITDA Margin = FY2027 Estimated EBITDA ÷ FY2027 Estimated Revenue

Using the workbook figures, the margin is approximately 29.53%, or about 30% when rounded.

A comparatively high EBITDA margin can indicate that a company generates more operating earnings for each rupee of revenue. However, margin differences may also reflect product mix, operating costs, advertising expenditure, pricing power and other business characteristics.

6. Peer Valuation Analysis

6.1 EV/Revenue Comparison

The EV/Revenue multiple compares enterprise value with revenue. It is useful for evaluating the market value assigned to a company's sales, although it does not directly measure profitability.

The model applies the peer median forward EV/Revenue multiple to Colgate's FY2027 estimated revenue. The resulting implied enterprise value is then adjusted for cash, debt and other relevant claims to derive implied equity value.

The dashboard's EV/Revenue valuation indicates an implied share price of approximately ₹1,442.39. Compared with the current market price of ₹1,603, this represents potential downside of approximately 10.02%.

This suggests that the peer median EV/Revenue multiple produces a valuation below the current market price. The result depends on the selected peer group, the accuracy of forecast revenue and the consistency of the enterprise value calculations.

6.2 EV/EBITDA Peer Comparison

EV/EBITDA evaluates enterprise value relative to operating earnings. It is widely used in relative valuation because it focuses on operating profitability before interest, taxes, depreciation and amortization.

The forward EV/EBITDA comparison indicates that Marico has the highest multiple among the companies shown in the dashboard, while Colgate trades below the peer median based on the model's displayed figures.

A lower multiple may reflect differences in expected growth, risk, profitability or market expectations. It does not automatically mean that the company is undervalued.

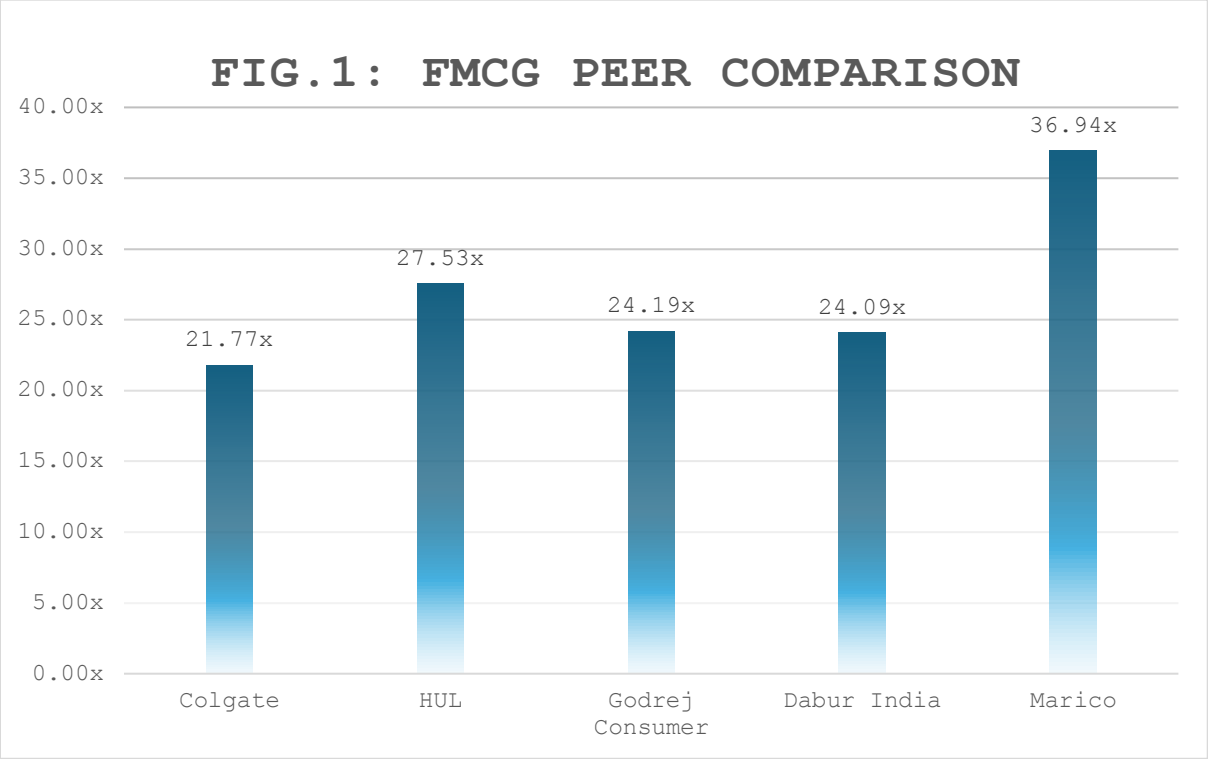


Figure 1. Comparison of forward EV/EBITDA multiples for Colgate-Palmolive and the selected FMCG peers.

The chart provides a visual comparison of the enterprise value assigned to each company's forecast EBITDA. It complements the valuation table by making differences in relative market multiples easier to identify.

6.3 Market Price Vs Implied Share Prices

The implied share price comparison summarizes the results of the three valuation methods.

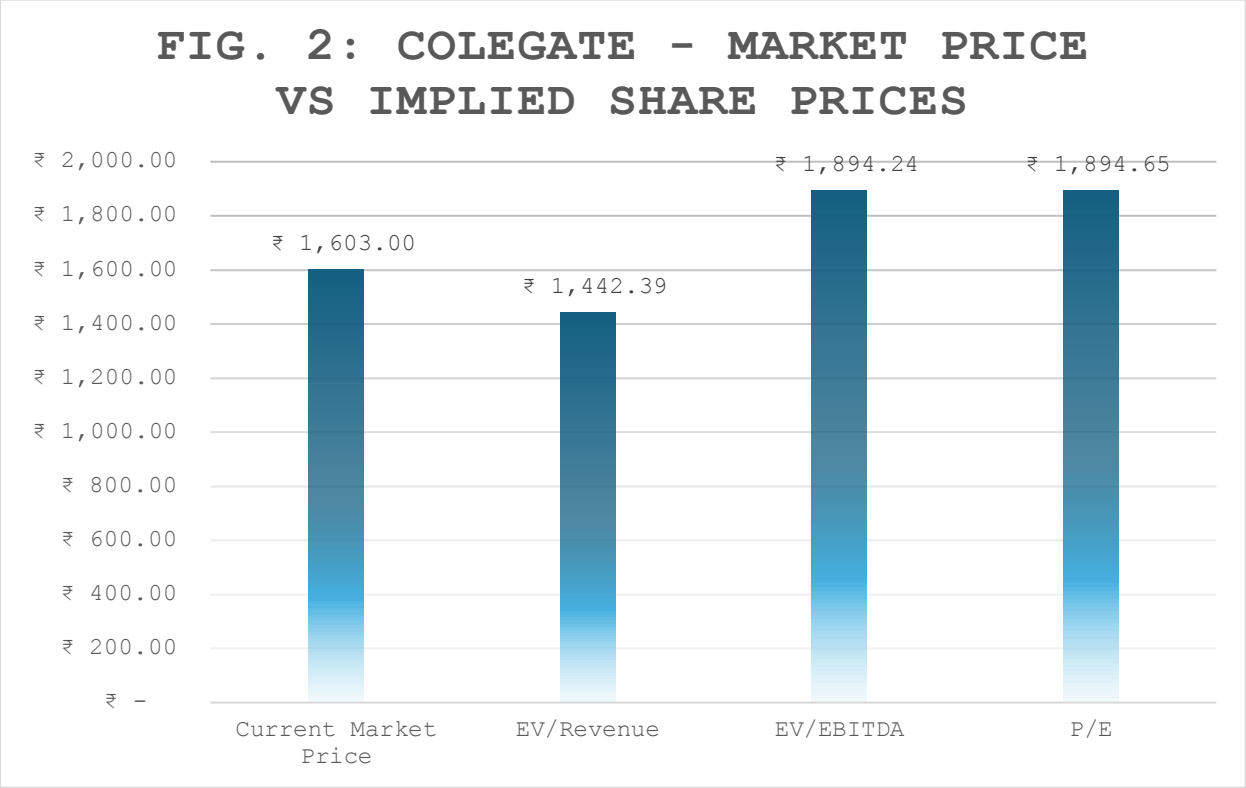


Figure 2. Colgate's current market price compared with the implied prices from EV/Revenue, EV/EBITDA and P/E. The EV/Revenue method indicates an implied share price of approximately ₹1,442.39.

The EV/EBITDA method indicates approximately ₹1,894.24, while the P/E method indicates approximately ₹1,894.65.

The EV/EBITDA and P/E estimates are closely aligned, whereas the EV/Revenue estimate is lower. This divergence demonstrates that the estimated value is sensitive to the valuation metric selected.

The results should be considered together rather than choosing the highest implied price as the definitive fair value.

7. Forecast Growth and Profitability Comparison

7.1 Revenue Growth Comparison

The forecast revenue growth chart compares the expected growth rates of the five selected companies.

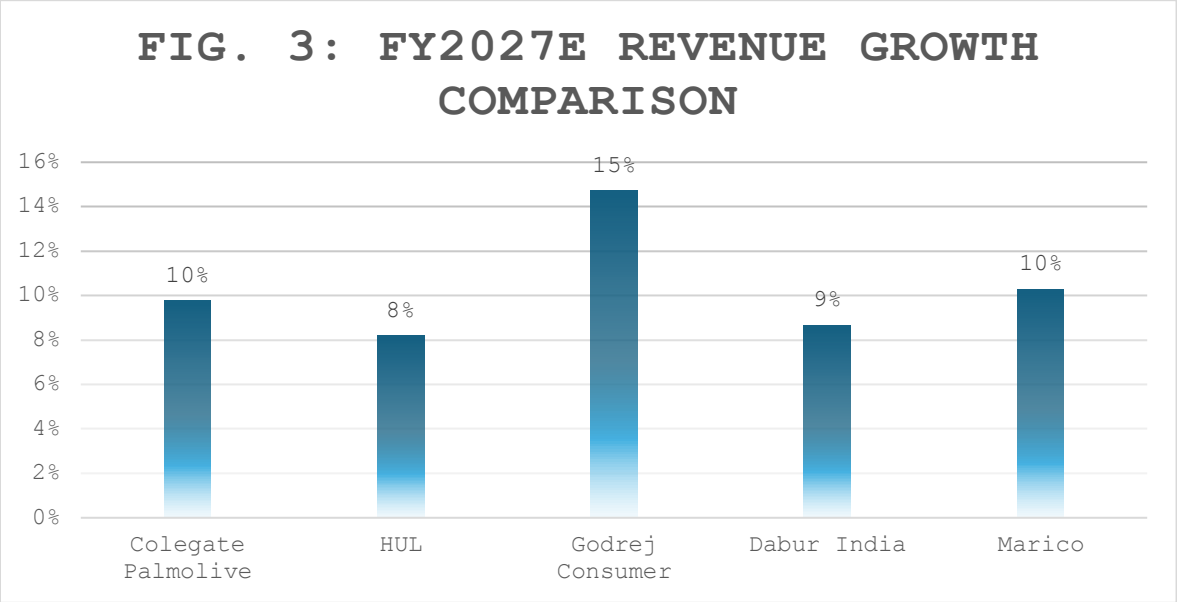


Figure 3. Comparison of forecast revenue growth across the selected FMCG companies.

Based on the dashboard figures, Godrej Consumer has the highest forecast revenue growth at approximately 15%. Colgate and Marico are around 10%, Dabur around 9%, and HUL around 8%.

Colgate's forecast growth is positive but is not the highest in the peer group. This context is relevant when assessing its valuation multiple because companies with different growth expectations may reasonably trade at different multiples.

These estimates should be checked against the underlying forecast sources before final submission.

7.2 EBITDA Margin Comparison

The EBITDA margin chart compares the forecast operating profitability of the selected companies.

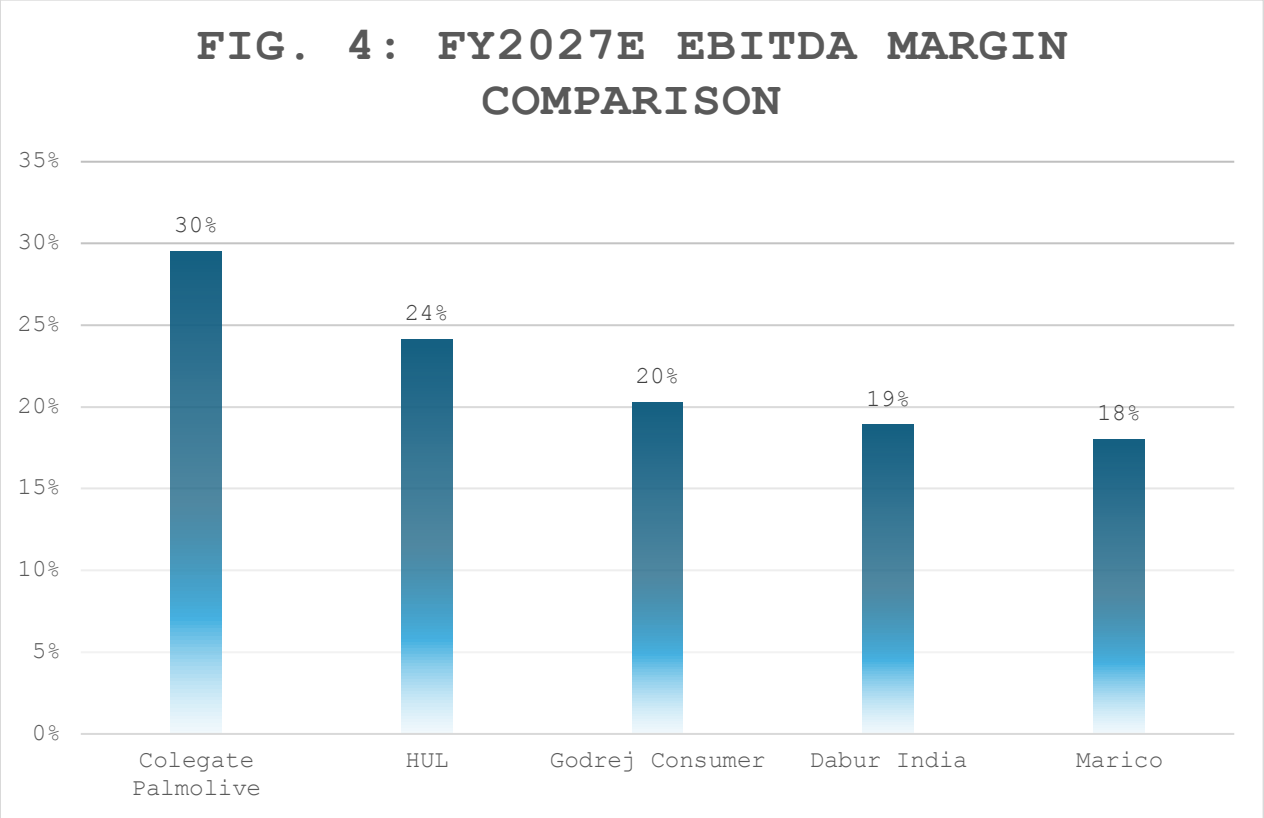


Figure 4. Comparison of FY2027 estimated EBITDA margins across the selected FMCG companies.

Colgate's estimated EBITDA margin is approximately 29.53%, or about 30% when rounded, and appears higher than the margins shown for the selected peers.

This indicates comparatively strong forecast operating profitability within the model. However, margin differences must be interpreted in the context of each company's product mix, cost structure, pricing power and reporting definitions.

Higher margins can support stronger operating earnings, but they do not independently establish that a stock is attractively valued.

8. Valuation Results and Interpretation

The dashboard produces the following indicative results based on the displayed calculations:

Valuation method	Implied share price	Current share price	Approximate upside/downside
EV/Revenue	₹1,442.39	₹1,603	−10.02%
EV/EBITDA	₹1,894.24	₹1,603	+18.17%
P/E	₹1,894.65	₹1,603	+18.18%

The EV/Revenue method suggests a value below the current market price, while the EV/EBITDA and P/E methods suggest higher implied values.

The similarity between the EV/EBITDA and P/E estimates provides some convergence between the earnings-based methods.

However, the methods still depend on the accuracy of forecast EBITDA and EPS, the selected peer multiples and the assumptions used to derive equity value.

The results therefore indicate a range of relative valuation outcomes rather than one definitive share price.

9. Risks and Limitations

This analysis has several limitations.

First, the results depend on the accuracy of the financial data and the consistency of the reporting periods. Revenue, EBITDA, cash, debt, enterprise value and shares outstanding should be reconciled against reliable source documents.

Second, the selected peer group is not perfectly comparable. Differences in product categories, business mix, geographic exposure, growth expectations and capital structure may justify different valuation multiples.

Third, FY2027 estimates are forecasts rather than actual results. If the forecasts differ from eventual performance, the implied valuations will change.

Fourth, valuation multiples fluctuate with share prices, market sentiment, interest rates and investor expectations.

Finally, Comparable Companies Analysis is a relative valuation method. It does not independently calculate intrinsic value using discounted future cash flows, and it does not guarantee future share-price performance.

10. Overall Conclusion

The Comparable Companies Analysis provides a structured assessment of Colgate-Palmolive (India) Limited relative to four selected Indian FMCG companies.

The EV/Revenue method indicates potential downside relative to the current share price, while EV/EBITDA and P/E indicate potential upside. The forecast financial analysis also shows positive revenue growth and a comparatively high EBITDA margin in the model.

The results demonstrate why multiple valuation methods should be used together. EV/Revenue focuses on sales, EV/EBITDA relates enterprise value to operating earnings, and P/E evaluates the market price relative to earnings attributable to shareholders.

EV/EBITDA may serve as the primary benchmark in this model, with EV/Revenue and P/E providing supporting perspectives. However, the results should be interpreted alongside the suitability of the peer group, forecast assumptions, source data and limitations of relative valuation.

This project demonstrates the application of financial data organization, Excel formulas, peer benchmarking, valuation multiples, implied share-price calculations and dashboard visualization. It is an educational analysis and should not be treated as a standalone investment recommendation.

11. Data Sources and Notes

The final report should document the actual sources used for share prices, annual financial statements, forecasts, cash, debt, minority interest, preferred stock and shares outstanding.

Where available, use company annual reports, official stock exchange filings and clearly identified financial-data providers.

Valuation date: [Insert the date corresponding to your share-price data]

Financial reporting period: FY2026 actual and FY2027 estimated, as applicable

Currency: Indian rupees (₹); financial statement values in crore unless otherwise specified

Disclaimer: The implied valuations are estimates based on selected peer multiples and forecast financial data. They are not a guarantee of investment returns or financial advice.